

SETTLEMENT AGREEMENT AND RELEASE

This Settlement Agreement is entered into as of the effective date established in accordance with Paragraph 13 below (Effective Date) by and between the City of Houston (City) and the Houston Professional Fire Fighters Association, Local 341 (Association) (each a Party and collectively the Parties).

1. RECITALS

1.1 The Parties are signatories to the 2024-2029 Collective Bargaining Agreement (CBA) ratified by City of Houston City Council on or about June 18, 2024, and Memorandum of Understanding dated June 11, 2024 (MOU) signed by the Mayor and Association President, and have engaged in discussions to resolve certain pending grievances, referenced in Paragraph 4 and attached in Exhibit A, asserted by the Association on July 30, 2025 by letter via e-mail to the City Attorney, relating to the implementation of various CBA provisions.

1.2 The Parties desire to resolve certain disputed issues, subject to the terms and conditions set forth herein.

1.3 The Parties agree to submit this Settlement Agreement to Arbitrator William Hartsfield to be incorporated verbatim to an order resolving the pending CBA grievances.

2. SCOPE

2.1 Current CBA Commitment. The Parties acknowledge and agree that the terms of this Settlement Agreement shall be limited to the duration of the current CBA, which expires on June 30, 2029, unless extended by mutual agreement of the parties in writing.

3. FY26 MONETARY ALLOCATIONS AND ACTIONS

3.1 Laundry Service. The Parties agree that the City will reallocate the \$250,000.00 annually for station laundry service to fund one or more of the allocations described in Section 3 until the expiration of the current CBA on June 30, 2029.

3.2 Holiday Buy Back

(a) **Allocation.** The Parties agree that the City will designate **\$1,500,000.00** for Holiday Buy Back, inclusive of a reallocation of funds for station laundry services in section 3.1, each fiscal year starting in the current fiscal year, FY26, until June 30, 2029.

(b) **Implementation.** The Parties agree that the Houston Fire Department will issue a memorandum establishing a new sign-up period related to FY26 Holiday Buy Back Program. All other sign-up periods for subsequent fiscal years prior to the expiration of the current CBA on June 30, 2029, will be in accordance with Article 22, Section 4.

3.3 Uniform Allowance.

(a) **Annual Credit.** The Parties agree that the City will provide each eligible member with an additional annual credit of:

- i. \$300.00 for FY25's uniform allowance, subject to the maximum account amount of fifteen hundred dollars (\$1,500.00) as set forth more fully in Article 27, Sec. 2a;

- ii. \$300.00 for FY26's uniform allowance, subject to the maximum account amount of fifteen hundred dollars (\$1,500.00) as set forth more fully in Article 27, Sec. 2a;
- iii. \$800.00, subject to the maximum account amount of fifteen hundred dollars (\$1,500.00) as set forth more fully in Article 27, Sec. 2a, for each eligible member in the subsequent fiscal years prior to the expiration of the current CBA on June 30, 2029; and
- iv. all other requirements of the Uniform Allowance article remain in effect.

3.4 Sick Reserve Utilization. The Parties agree to allow eligible members to utilize accrued sick reserve balances for Deferred Cash Out (DCO) and Rollover Election (RE) options.

- (a) **Scope of Agreement.** This Settlement Agreement applies exclusively to eligible individuals who elected DCO and RE, beginning on July 1, 2024, through the effective date of this Settlement Agreement, and those members who elect DCO and RE after the effective date of this Settlement Agreement through June 30, 2029.

4. Dismissal of Grievances. Upon the Effective Date and confirmation of the allocations and commitments in Section 3, the Association shall dismiss with prejudice the pending grievances identified in Exhibit A.

5. Life Safety Bureau Accrued Holiday Corrections; Tuition Reimbursement. The Parties agree that that the issues raised concerning Life Safety Bureau Holiday Accruals and Tuition Reimbursement are fully resolved or in process of being resolved: (a) correction of payroll to award accrued holidays for Life Safety Bureau personnel has been completed and any previous accruals not already corrected will be done as soon as practical; and (b) Tuition Reimbursement has been issued and continues to be processed for those eligible firefighters in accordance with the CBA, MOU, and HFD applicable policies.

6. Arbitration Costs. The Parties agree that they will equally share the costs of the arbitrator, if any.

7. No Precedent; No Past Practice

7.1 The Parties agree that this Settlement Agreement is without precedent and shall not be cited or relied upon in any manner by either Party to establish a past practice or to interpret the current CBA.

7.2 The Parties agree that the terms of this Settlement Agreement are separate and apart and have no bearing whatsoever on future bargaining over terms and conditions for any subsequent fiscal year, and nothing in this Settlement Agreement will bind either Party upon expiration of the current CBA on June 30, 2029.

8. Representations; Authority

8.1 Each Party represents that it has full authority to enter into and perform this Settlement Agreement.

8.2 Each Party has had the opportunity to consult counsel and enters into this Settlement Agreement voluntarily.

9. Confidentiality and Communications

9.1 The Parties agree to maintain the confidentiality of settlement communications to the extent permitted by applicable law. Nothing in this Section shall restrict disclosures required by law, including public information laws, or internal City processes.

10. Entire Agreement; Amendments

10.1 This Settlement Agreement, including Exhibit A, constitutes the entire agreement between the Parties regarding the subject of the grievances attached as Exhibit A to this Settlement Agreement and supersedes prior or contemporaneous proposals or understandings on those subjects.

10.2 Any amendment must be in writing and signed by authorized representatives of both Parties.

11. Governing Law

11.1 This Settlement Agreement shall be governed by the laws of the State of Texas. Any dispute regarding the enforcement of this Settlement Agreement shall be submitted to Arbitrator William Hartsfield for final resolution.

12. Counterparts; Electronic Signatures

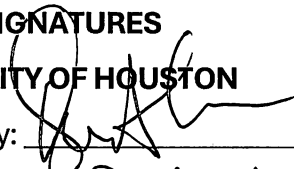
12.1 This Settlement Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together constitute one instrument. Electronic signatures shall be deemed original for all purposes.

13. Effective Date

13.1 The Effective Date shall be the date on which both Parties have executed this Settlement Agreement.

SIGNATURES

CITY OF HOUSTON

By: 

Name: Deidra A. Norris

Title: Sr. Asst City Attorney

Date: 1/22/2020

HOUSTON PROFESSIONAL FIRE FIGHTERS' ASSOCIATION, LOCAL 341

By: 

Name: Richard Mumey

Title: General Counsel

Date: 1/22/2020

Exhibit A - List of Pending Grievances Resolved by this Settlement Agreement (through the expiration of the current CBA on June 30, 2029)